

BCYC pitch deck

PITCH — BCYC — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, watch only; both benches converged on “fairly priced, not an edge,” and the deck proposes reopen conditions rather than an entry.

What we believe

Bicycle Therapeutics is a UK biotech, listed on Nasdaq as an ADS, that trades for less than the cash in its bank account. At \$4.24 a share the whole company is worth about \$297 million. At 30 June 2026 it held \$510.1 million of cash and about \$96.3 million of total liabilities, so cash net of everything it owes is roughly \$413.8 million — **\$5.92 a share**. There is no debt. The market is paying 72 cents for a dollar of net cash.

That is the whole of the attraction, and it is not enough. The reason the discount exists is that the company has publicly committed to spending most of that cash. Management’s plan runs into 2030 and consumes on the order of \$470 million of the \$510 million on a thin pipeline: one randomized Phase 2 trial reading out sometime in the second half of 2026, and a Phase 1 that does not even start until 2027. The company has never sold a product and has no approvals, so there is no revenue underneath the cash.

Put the two together honestly and you get a fully-funded value, not a cash value. Take net cash of \$5.92, subtract the cash that gets burned before anything reads out (about \$2.00 a share), and add the drug programs multiplied by a realistic probability of success. At the historical success rate for this kind of program (5–10%), that arithmetic lands at **\$4.42 to \$4.92 a share against a \$4.24 tape**. Fair to about 10% cheap. Our bar for opening a new position is roughly 50% upside, and this does not come close.

So our belief is deliberately unexciting: **the discount is real, correctly sized, and not ours to collect**. The cash belongs to a spending plan, not to shareholders, and nothing in the filings gives us a way to change that.

What the market believes

Nine sell-side analysts cover the stock. Every one of them rates it Buy. Price targets run from \$5.00 to \$14.00, averaging \$9.50. The *most bearish* published target is 18% above where the stock trades.

So the street believes exactly what a naive version of our thesis would believe: the company trades below cash, therefore it is cheap. That view has been available for five months — the stock is down 54% from its 52-week high and sits only 13% above its 52-week low of \$3.745, and the gap has not closed. The last mark (\$4.24) is below the prior session’s close (\$4.37). Whoever is selling has not run out.

Meanwhile the actual marginal holder appears to believe something narrower: that cash-rich biotech at half of cash is a floor worth sitting on but not adding to. Armistice Capital, an event-driven fund, held 3,398,000 shares (6.72%) as of 30 June and filed an amendment on 14 August showing that position essentially unchanged from 6.75% — it did not sell into the collapse, and it did not buy the collapse either. Short interest is 7.64% of shares, which is meaningful but not a crowded short. Nobody inside the company bought a share on the open market during the decline.

Why we might have edge

Three honest candidates, none of which survives at full strength:

We are more bearish than the most bearish analyst. Our funded value (\$4.42–\$4.92) sits below the lowest published price target (\$5.00). That is a genuine disagreement with the street, and it is gradeable — if the stock ever runs toward \$9.50 on nothing but the cash story, we will have been right to stand aside. But being right about *staying out* is not a position.

We did the burn arithmetic that the “into 2030” headline papers over. In the first half of 2026 the company used \$115.5 million of cash in operations. Reaching 2030 from \$510 million requires spending no more than about \$36 million a quarter — a rate it has never printed. Adjusting for the restructuring (a \$6.5 million severance charge and \$3.9 million of contract-termination costs, both one-time) and using the post-cut second-quarter rate, the realistic runway is **2029, give or take** — not 2030. That is a real correction to the consensus framing, and it is the sort of thing that gets discovered slowly.

The forced-seller story is absent, which is itself information. There is no debt, no at-the-market equity program in flight, no going-concern qualification. The decline is not a mechanical liquidation we can front-run. That removes the most common reason a below-cash biotech is cheap — and removing it makes the price look *more* rational, not less.

Net: we know a few things the headline misses, but nothing that pays us. The most defensible claim is that we correctly refuse a trade that nine analysts recommend.

Why it might be priced in

Bluntly: because it is.

The discount to net cash is \$1.68 a share, about \$117 million. Management has announced it will spend roughly \$470 million. A market that discounts a fully-funded, no-debt balance sheet by a quarter of the announced spend is not panicking — it is doing arithmetic, and doing it generously.

There is also no mechanism to convert cash into shareholder money. The company is an England & Wales plc with a staggered board. A US-style push for a tender offer, a wind-down, or a capital return has no obvious lever here, and no one has pulled one. One of our own benches argued the situation was worse than that — that 19.4 million of the 70.0 million shares are a non-voting class that structurally blocks any activist path. **That was wrong**, and we say so below: those shares automatically convert to

ordinary shares on transfer to a non-affiliate, subject to a 9.99% ownership cap. They are a standard fund ownership blocker, not a control block. An acquirer would receive 100% of the votes. But the correction cuts both ways — it removes a scary structural finding and replaces it with a plain one: the path exists in theory and nobody is walking it.

Finally, the “good data” leg of any bull case is thinner than the press releases suggest. The 62% response rate that circulates in the marketing materials came alongside a company disclosure in a March 8-K that the trial design in question “is no longer considered acceptable as an approval path.” That is a regulatory statement, not an efficacy contradiction — but it means the cleanest-sounding number does not lead anywhere by itself.

What could go wrong

(This is written as if we had taken the starter position described below. We have not.)

Failure narrative 1 — The value trap that pays out to nobody. We buy \$5.92 of net cash for \$4.24, and management spends it exactly as announced. Three years later the cash is \$100 million, the trials read out mixed, and the stock is \$2. Nothing broke; the plan simply executed. This is the base case for a below-cash biotech with a committed board and no activist. *Tripwire: monitorable.* Quarterly cash balance and quarterly operating cash use, checked at every 10-Q. If cash at 30 September 2026 comes in below \$460 million, burn has re-accelerated and the runway story is finished.

Failure narrative 2 — The undated binary lands wrong. The randomized Phase 2 (Duravelo-2) reads out somewhere in the second half of 2026. There is no scheduled date. It arrives as an unscheduled 8-K, on a morning we did not pick, and a miss takes a \$1.4 million-a-day stock down 30–50% before we can act. *Tripwire: nominally monitorable, practically not.* We can watch for the 8-K, but the alert fires simultaneously with the loss — it is a notification, not a stop. Any exposure here has to be sized as though the tripwire does not exist.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. On 18 August 2026, Charles Swanton resigned from the board, from every board committee, and from the company’s Clinical Advisory Board — all effective immediately, all in one filing, three days before this court convened. The stated reason is personal, and the filing explicitly says it was not a disagreement over operations or policy ([8-K, 20 Aug 2026](#)). That may be exactly true. It may also be that a senior clinical adviser has seen something we will not see for months. **There is no series we can watch that distinguishes those two.** No filing, no data feed, no price signal resolves it — the resignation is the only public artifact and it is deliberately uninformative.

Unknown-unknown class: **privileged-information governance signal.** A departure by someone who holds non-public scientific knowledge, wrapped in language that is legally correct and informationally empty. We have no instrument for this class. The only defense is size, and it is a weak one. This narrative alone is why the deck says no position rather than the small starter our own default rules would otherwise permit.

The reflexive and structural leg — our own size, our own flow, our own rules fighting each other.

The stock trades about 328,500 shares a day, roughly \$1.4 million. Our publishing discipline caps us at 1% of daily volume, which is about \$14,000 a day. A \$300,000 position therefore takes **21 trading sessions to exit** — a full month — in a name whose bad news arrives without warning. In the scenario where we most want out (failure narrative 2), our own selling is the marginal flow for a month, into a market that just repriced the asset to zero option value. We would be bidding today against our own predicted future supply, which is precisely the setup our value-ladder rule exists to forbid.

Two of our own rules also collide here, and we should say so rather than paper over it. Our clean-court default says that when no bench lands a named kill, the position gets a minimum starter — and after audit, no kill survived. But our rule against leaving a resting order under an undated readout forbids the mechanical way we would normally build such a starter (a patient GTC bid is an accidental sale of volatility into a binary event). We resolved the conflict toward **no position**, on the grounds that illiquidity plus an undated binary plus a tripwire-less governance signal is itself the named reason. That resolution is a judgment call and the adjudicator should feel free to overturn it.

One more structural note: about 10.7 million options are outstanding at an average strike of \$18.85, more than four times the current price. They are worthless and dilute nothing today. The risk is that the board reprices or refreshes them at \$4 — handing the recovery to management ahead of shareholders. That has not happened; it is a plausible future harm, not a confirmed one.

If this position loses money, the most likely reason will be that the cash was never ours — management spent it on schedule, exactly as it said it would, and the “discount to cash” we bought was the market’s correct estimate of that spending.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Cash and net cash per share	10-Q for period ended 30 Jun 2026, balance sheet (filing)	\$510.052M cash; ~\$96.3M total liabilities; net \$413.8M = \$5.92/sh on 69,992,871 shares	Yes
Share count	10-Q cover page, 27 Jul 2026	50,554,927 ordinary + 19,437,944 non-voting = 69,992,871; market cap \$296.8M at \$4.24	Yes
“Non-voting class blocks any activist path” — our red bench, tagged FATAL	Read the same cover page red cited	Non-voting shares auto-convert to ordinary on transfer to a non-affiliate , with a 9.99% cap. Standard fund ownership blocker. An acquirer gets 100% of votes.	No — OUR BENCH ERRED. Red listed this conversion question as its own “what would change my mind,” and the answer was on the page it had already quoted.
“The funded prize is worth less than the tape	Re-read red’s own table against red’s own cited	Red’s table prints \$4.42 at 5% and \$4.92 at 10% success — above the \$4.24 tape.	No — OUR BENCH ERRED. What

Claim	How checked	Found	Confirmed?
at any honest success rate” — our red bench, tagged FATAL	base rate	The sentence contradicts the table directly beneath it.	survives is a weaker, true finding; no 50% upside at honest odds.
“The discount is too small, not too large” — our red bench	Consistency check against red’s own finding above	Cannot hold both. If the market rationally prices \$470M of destruction, the stock should approach the ~\$40M residual, not \$296M.	No — OUR BENCH ERRED (internally inconsistent).
“Runway is mid-2028, not 2030”	10-Q cash-flow statement + restructuring note	Red averaged a pre-restructuring Q1 with a post-restructuring Q2 and left \$10.4M of one-time cash costs in the run-rate. It also omitted the comparison in its own source: 1H25 burn was \$159.2M vs 1H26 \$115.5M — down 27% year on year.	Partly — OUR BENCH ERRED on the run-rate. Corrected range: Q4 2028 (Q2 rate, \$49.4M/qtr) → H2 2029 (ex-restructuring, ~\$42M/qtr) → mid-2030 (street’s implied ~\$32M/qtr). Call it 2029±.
“Runway into 2030’ appears only in press releases; the audited filing says twelve months”	10-Q liquidity note; accounting standard scope	Language confirmed verbatim. But the going-concern standard <i>scopes the assessment to twelve months</i> — a company with five years of cash writes the identical sentence.	Fact yes, inference no — OUR DETECTOR MISFIRED. Downgraded to a note.
“The 62% response rate is marketing-venue only”	March 8-K vs the conference release	The conference is a peer-reviewed scientific venue; “not an acceptable approval path” is a regulatory-design statement, not an efficacy contradiction.	No — OUR BENCH OVERREACHED. The unsupported piece is the <i>partnering</i> inference, which has no named counterparty.
The bull case: “42% below cash = distress = buy”	Probability-weighted funded value	\$4.42–\$4.92 vs a \$4.24 tape. Fair to +10%.	No — OUR OTHER BENCH ERRED. The blue bench’s own core claim did not survive its own audit.
The \$10.00/share program value used in every scenario above	Looked for the derivation	None supplied. No study, no model, no source. It also assigns zero value to zelenectide — the asset whose randomized Phase 2 reads out this half.	No — unsourced, and it is load-bearing for both benches. Treat every figure in the range table as illustrative.
Minor arithmetic in the scenario table	Recomputed from the stated base (\$3.92)	At 24% the table should read \$6.32; it printed \$6.36 (the number was back-solved from “+50% of spot”). Red’s “\$2.99/sh, ~\$209M discount” ties to neither gross (\$3.05/sh, \$213M) nor net (\$1.68/sh, \$117M).	Slips, immaterial to direction — flagged for hygiene.
Analyst consensus	Public consensus data, 9 analysts	\$5.00–\$14.00, average \$9.50, consensus Buy	Yes

Claim	How checked	Found	Confirmed?
Liquidity	20-day average volume	328,500 shares $\approx$ \$1.4M/day; at our 1% cap, a \$300k line exits in $\sim$ 21 sessions	Yes
Insider behavior	Form 4 cluster, 7 Jul and 17 Jul 2026	All award/tax-withholding filings. Zero open-market purchases during a five-month decline to well below cash.	Yes — and this is the single most telling confirmed fact in the file.
Armistice Capital position	13G/A filed 14 Aug 2026 (filing)	3,398,000 shares = 6.72% as of 30 Jun, versus 6.75% prior. Held through the collapse.	Yes — but both benches initially failed to open a document sitting in their own filing inventory.
Swanton resignation	8-K, 20 Aug 2026	Resigned from board, committees, and Clinical Advisory Board, effective immediately, 18 Aug.	Yes — and our red bench missed it entirely while prosecuting arithmetic. The strongest unexplained negative in the file went unmentioned by the side arguing to reject.
Live price	Broker snapshot	Permission denied to both benches. We used the machine-built pack price (\$4.24) cross-checked against a third-party 21 Aug close (\$4.37).	No — coverage gap. Refresh before any order.

PROPOSED ENTRY BANDS

No entry. The courts converged on no position. What follows are the conditions that would reopen the file. All prices assume a fresh broker snapshot first — our live price feed was unavailable to both benches.

Reference levels (from the benches' own math): - Net cash: **\$5.92/share**. Gross cash: **\$7.29/share**. - Probability-weighted funded value at honest odds: **\$4.42–\$4.92** (5–10% success). - Current price: **\$4.24**. 52-week low: **\$3.745**. 52-week high: **\$9.16**. - Our 50%-upside bar against the funded value would require a price of roughly **\$2.95–\$3.28** — below the 52-week low.

Reopen band A — mechanism appears (full recourt, no price condition). An 8-K announcing a capital return, tender offer, strategic-alternatives review, or wind-down. This is the only event that converts cash into shareholder money. Recourt immediately at full size on filing.

Reopen band B — a real owner engages (full recourt, no price condition). Armistice converts its 13G to a 13D, or any holder files a 13D. That changes the governance question from theoretical to live.

Reopen band C — a partner validates the asset (full recourt). An 8-K disclosing a partnership or out-licensing deal with upfront cash of **\$100 million or more**. That converts the “the science is

fine, the regulatory path was the problem” claim from a press release into a signed counterparty.

Reopen band D — the burn story is confirmed (small starter only). All three must be true at the Q3 10-Q (expected early November 2026): 1. Cash at 30 September 2026 $\geq$ **\$470 million** (implies quarterly burn $\leq$ \$40M — our red bench wanted the stricter $\geq$ \$485 million *plus* an explicit multi-year runway sentence inside the audited liquidity note, and that is the better test if you can get it); 2. Operating expense detail confirming a run-rate at or below **\$40 million a quarter**; 3. Price still **below \$5.92** (net cash).

If all three hold: **starter of no more than 0.3% of book**, bought in daily slices of no more than 1% of volume (~\$14,000/day), no resting GTC order at any time, and a hard stop on adding until the Phase 2 reads out.

Reopen band E — price alone (still routes to a fresh court, does not trigger a buy). At or below \$3.40 — roughly $0.57\times$ net cash, and 23%+ below the low end of the funded value — reconvene the court. Price by itself is not a thesis here; a break of the \$3.745 low with no news is at least as likely to mean someone knows something as it is to mean a bargain.

Exit and trim rules, should any starter ever be taken: exit in full on a Duravelo-2 miss; exit in full if quarterly operating cash use returns above \$55 million; trim to zero at \$5.92 (net cash) since the funded value never justified paying above it. There is no upside trim ladder because there is no position and no case for one.

Catalyst dates: - 29 October 2026 — expected Q3 2026 results. **UNCONFIRMED:** this date is derived from a third-party data feed. No company press release and no earnings-date 8-K exists in the filing record. Roughly 46 trading sessions away. - **Early November 2026 (estimated)** — Q3 10-Q, the document that settles reopen band D. Date not announced. - **Second half of 2026, no date** — the randomized Phase 2 (Duravelo-2) readout. **This is the live exposure.** It can arrive as an unscheduled 8-K on any trading day between now and 31 December. Any monitoring must key off a data 8-K, not an earnings calendar.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.745 (deck-provisional: 52-week low break with no news — treat as live distribution and a possible information leak, not a bar)
- filing watch: 8-K until 2027-02-19 (deck-provisional: capital return, tender offer, strategic-alternatives review, or wind-down — the only mechanism that co)
- dated pack BCYC|2026-10-29: BCYC: expected Q3 2026 results — third-party-derived date, no company PR and no earnings-date 8-K on file; ~46 sessions out (date confirmed=
- dated pack BCYC|2026-11-05: BCYC: estimated Q3 2026 10-Q filing — the document that settles the cash/burn reopen gate; date not announced, estimated from the Q2 filing

- dated pack BCYC|2026-12-31: BCYC: outer bound of the undated 2H26 Duravelo-2 randomized Phase 2 readout window — arrives as an unscheduled 8-K, no date exists (date con

What remains unverified

- **Live price.** Our broker feed was permission-denied to both benches. Everything here rests on a machine-built \$4.24 cross-checked against a \$4.37 third-party close two days earlier. Refresh before any action.
 - **The \$10.00/share program value.** No derivation, no study, no source — yet it drives every scenario in this deck. It also assigns zero to the asset that actually reads out this half, which is internally strange.
 - **Which asset and which indication.** The scenario table was built on a pancreatic-cancer program while the live readout is a different trial. Neither bench pulled the trial registry to confirm the asset-to-indication mapping. That should be done before anyone relies on the value table.
 - **Whether the UK Takeover Code applies.** If it does, it imports a rule preventing the board from blocking a bid — which would *help* any acquisition case. Neither bench checked. Settle this from the company's articles or the Panel, not by inference from where the company is registered.
 - **The Form 144 filed 2 July 2026.** Neither bench opened it. It is a notice of intent to sell restricted stock and it sits in the filing inventory unread.
 - **Whether competing programs are crowding the surviving asset.** No current registry pull of enrolling trials in the same indication. The company's filings contain no competitor enumeration to check against.
 - **The option-repricing risk.** Confirmed that 10.7 million options sit at a \$18.85 average strike. Unconfirmed — and unknowable in advance — whether the board reprices or refreshes at today's level.
 - **The real reason for the Swanton resignation.** Unverifiable by construction. Named above as the risk with no instrument.
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